

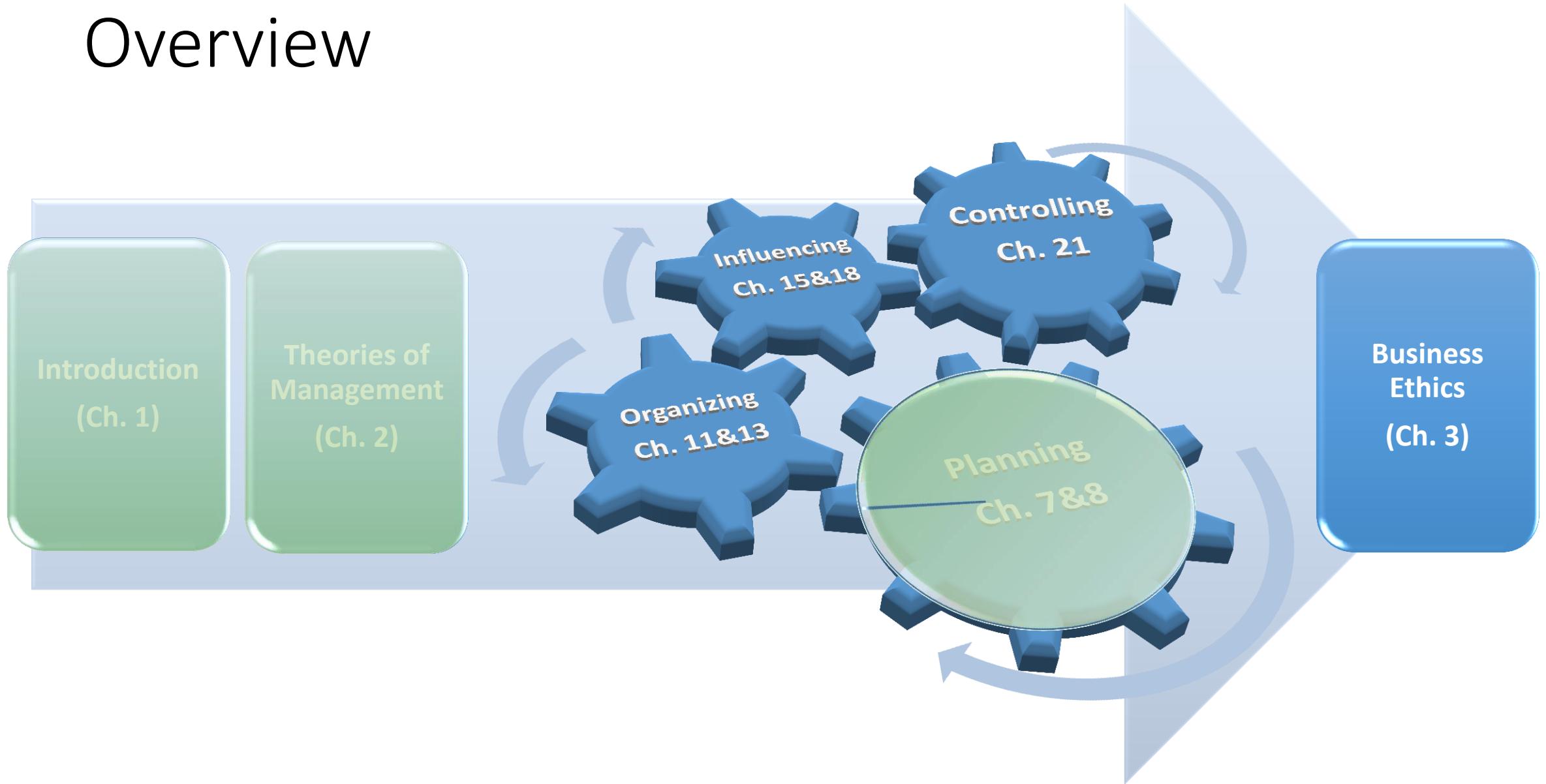
Chapter 11

Fundamentals of Organizing

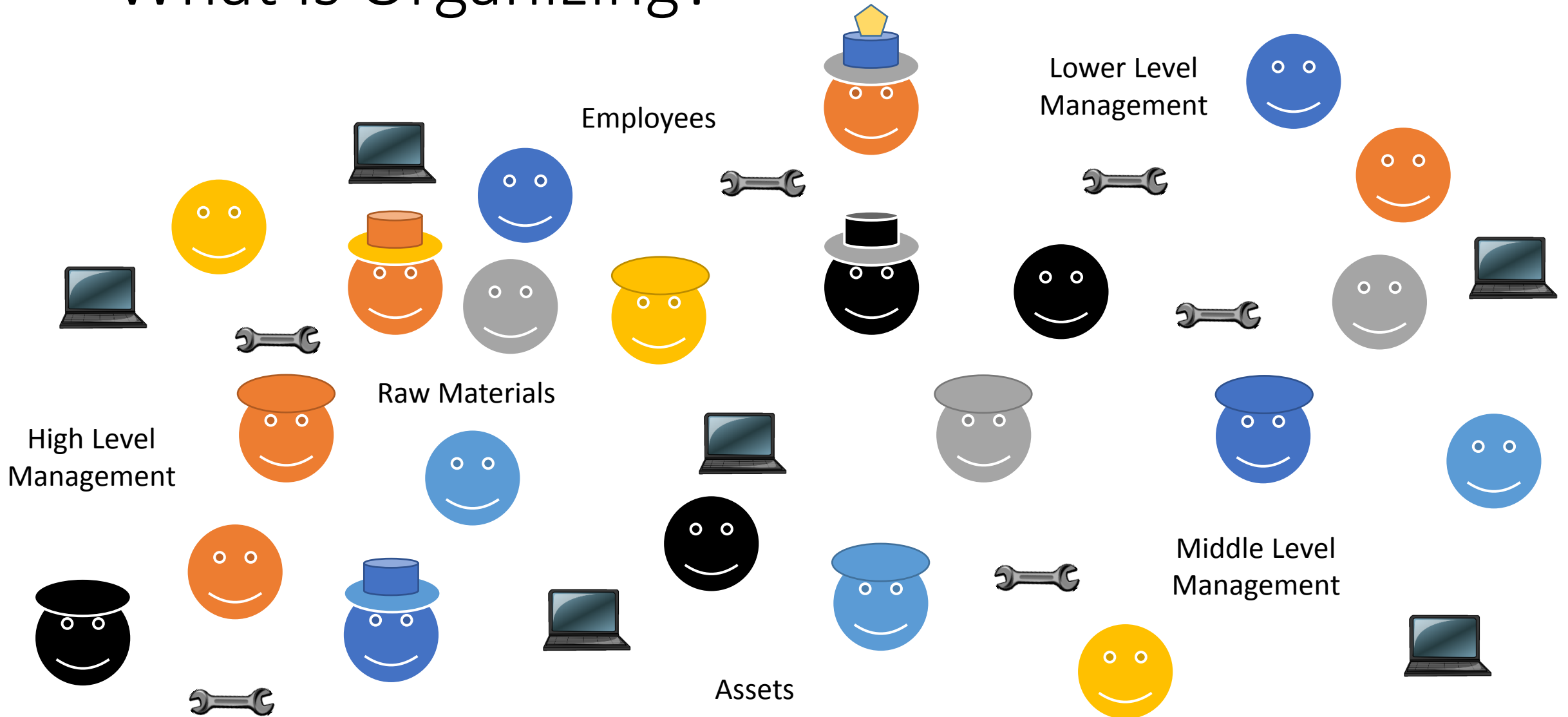
By

Dr. Doaa Saleh

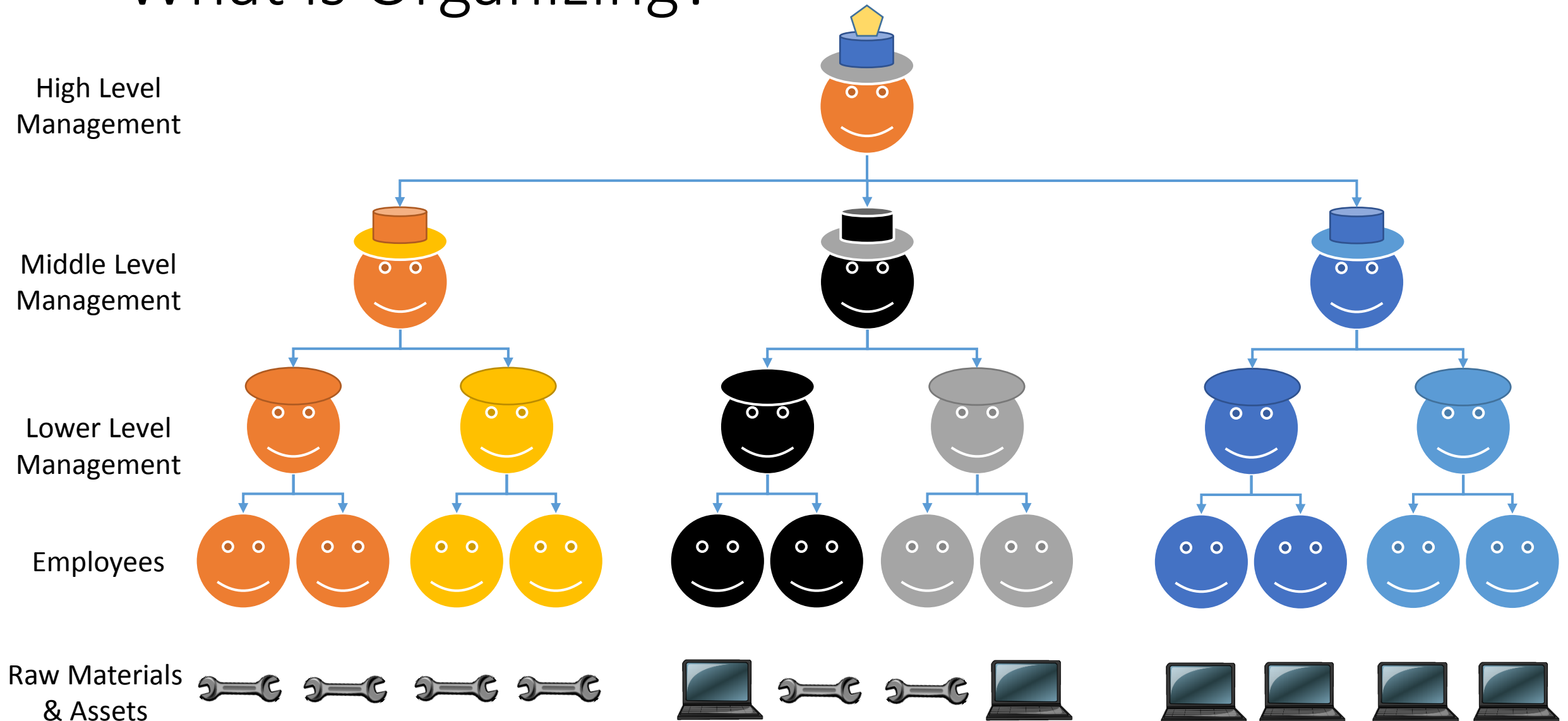
Overview



What is Organizing?



What is Organizing?



Definitions

- **Organizing:**

Is the process of establishing orderly uses for resources within the management system.

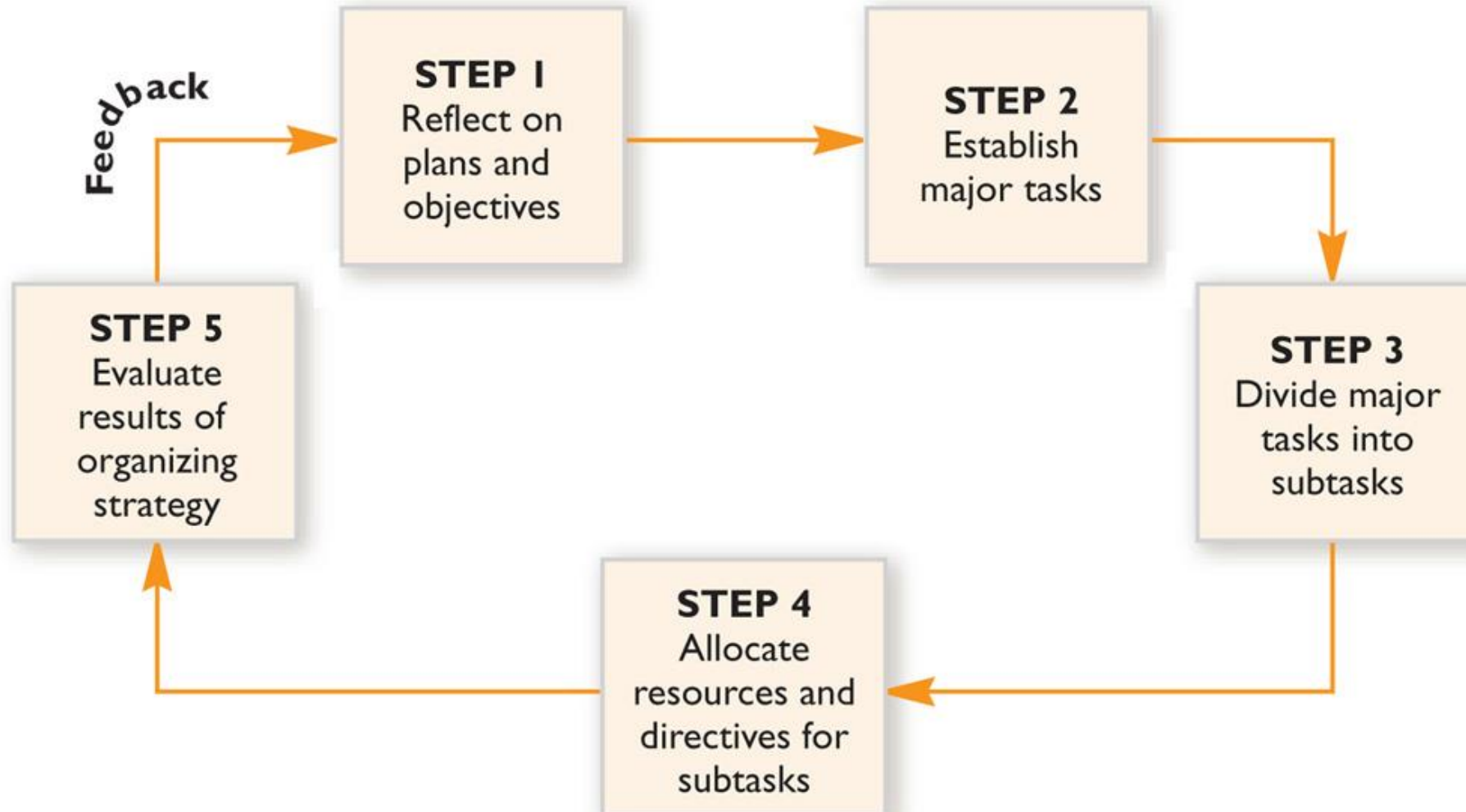
- **Organizing Skills:**

Is the ability to establish orderly uses for resources within the management system.

Importance of Organizing

1. It is the primary mechanism managers use to activate plans.
2. It creates and maintains relationships between all organizational resources.
3. It helps managers in minimizing costly weaknesses.

Organizing Process



Classical Organizing Theory

- Weber's Bureaucratic Model.
- Division Of Labor.
- Structure.

Weber's bureaucratic model

- Concept of bureaucracy:
 - Detailed Procedures And Rules.
 - Clearly Outlined Organizational Hierarchy.
 - Impersonal Relationships Among Organization Members.
- He was concerned that managers were inclined to overemphasize the merits of a bureaucracy.
- He cautioned that a bureaucracy is not an end in itself, but rather a means to the end of management system goal attainment.

Weber's bureaucratic model

Disadvantages

- It gives short shrift to the human variable within organizations.
- It is recognized today that the bureaucratic approach without an appropriate emphasis on the human variable is almost certainly a formula for organizational failure.

Division of Labor

- Is the assignment of various portions of a particular task among a number of organization members.



Division of Labor

Advantages:

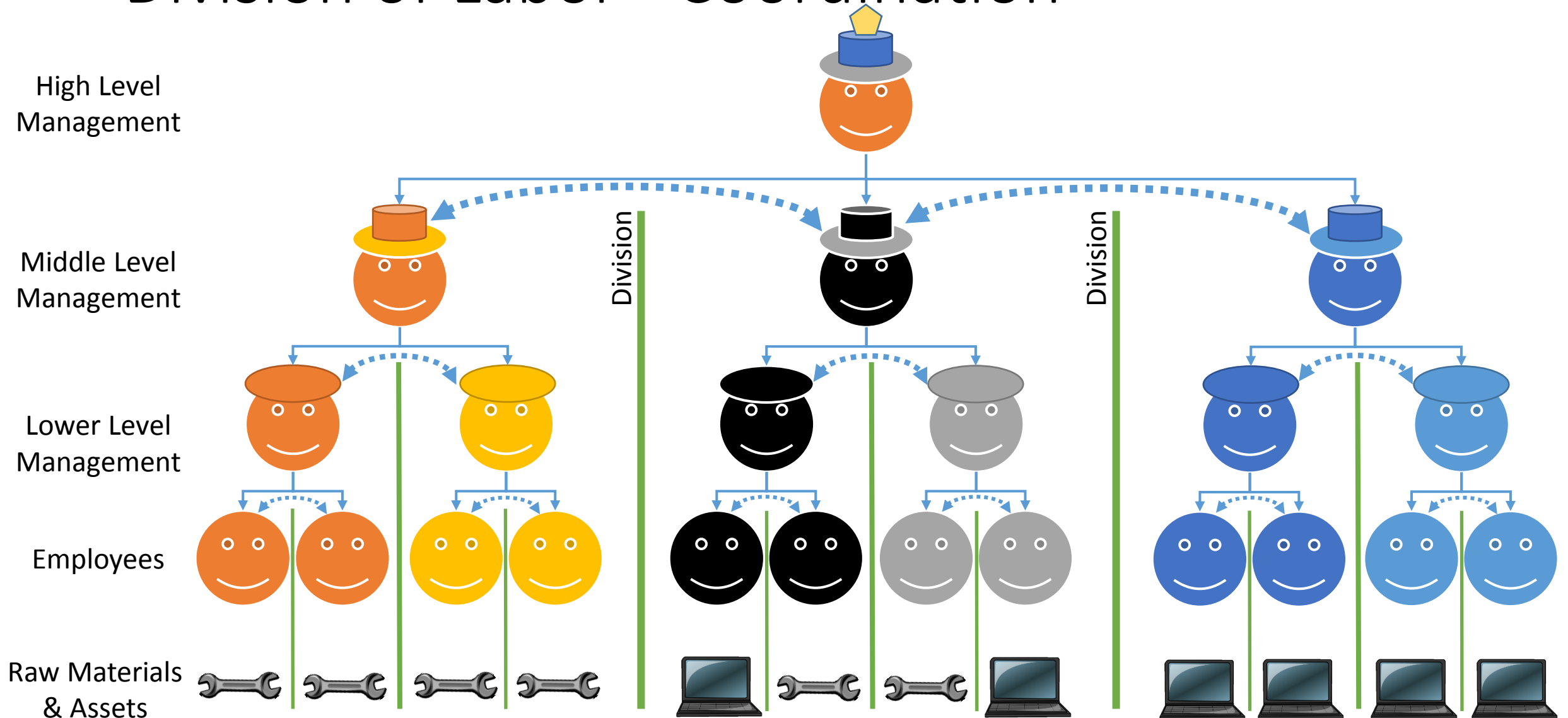
- When workers specialize in a particular task, their skill at performing that task tends to increase.
- Workers who have one job and one place in which to do it do not lose valuable time changing tools or locations.
- When workers concentrate on performing only one job, they naturally try to make the job easier and more efficient.
- It creates a situation in which workers need only to know how to perform their part of the work task rather than the entire process for producing the end product.

Division of Labor

Disadvantages:

- It focuses solely on efficiency and economic benefit and overlooks the human variable in organizations.
- Work that is extremely specialized tends to be boring and therefore will eventually cause production rates to go down as workers become resentful of being treated like machines.

Division of Labor - Coordination



Division of Labor - Coordination

- ***Coordination:*** is the orderly arrangement of group effort to provide unity of action in the pursuit of a common purpose.

Structure

- **Definition:**

Is the designated relationships among resources of the management system

- **Purpose:**

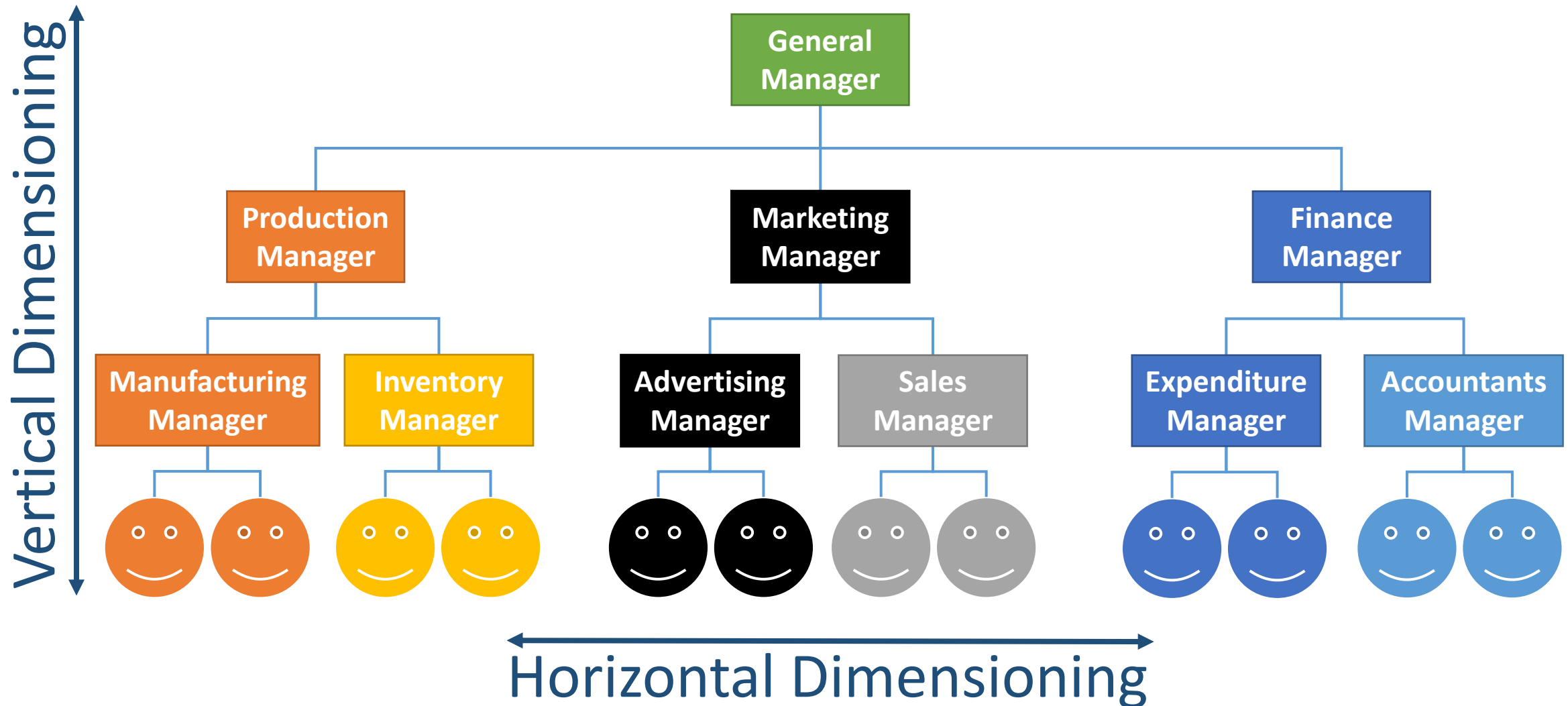
is to facilitate the use of each resource, individually and collectively, as the management system attempts to attain its objectives.

- **Types:**

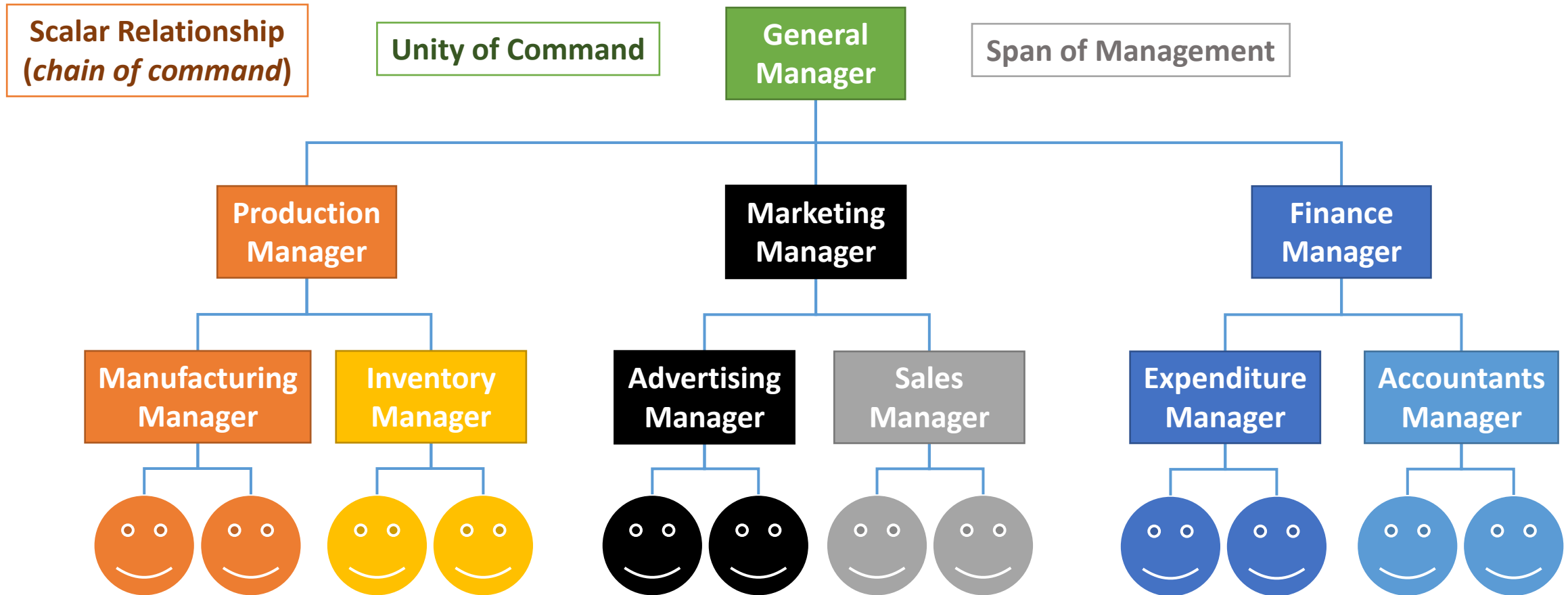
Formal: the relationships among organizational resources as outlined by management

Informal: the patterns of relationships that develop because of the informal activities of organization members

Organization Chart



Vertical Dimensioning



Vertical Dimensioning

- **Definition:**

The extent to which an organization uses vertical levels to separate job responsibilities

- **Scalar Relationship (*chain of command*):**

Individual at the top possesses the most authority

Individual at the bottom possesses the less authority

Other individuals' authority is scaled downward according to their relative position on the organization chart

- **Unity of Command:**

Is the management principle that recommends that an individual have only one boss

Vertical Dimensioning

- **Span Of Management:**

- The span of management has a significant effect on how well managers carry out their responsibilities.
- Span of management is also called span of control, span of authority, span of supervision, and span of responsibility.
- To use the organization's human resources effectively, managers should supervise as many individuals as they can best guide toward production quotas.

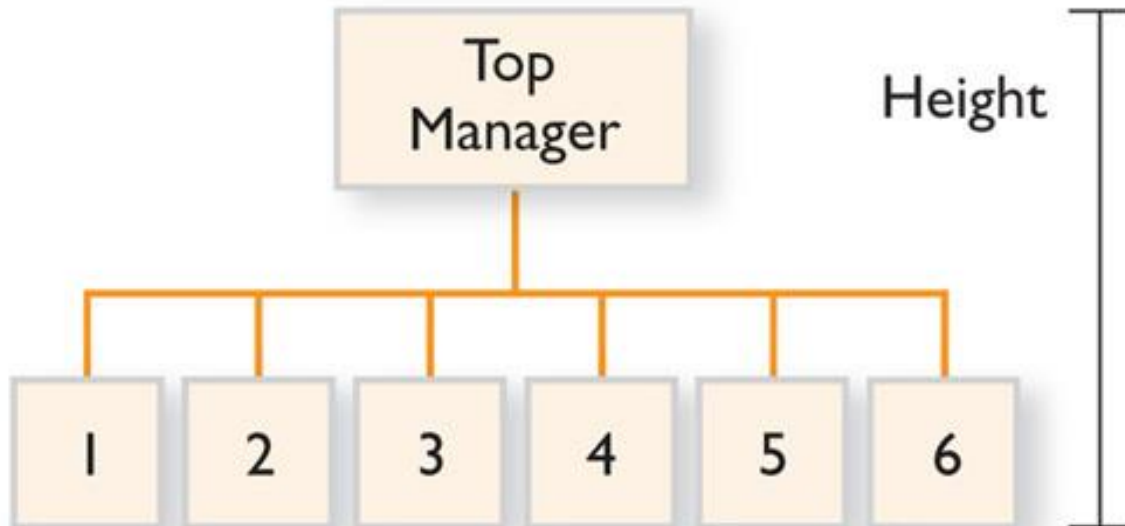
Span Management Designing

A Contingency Viewpoint

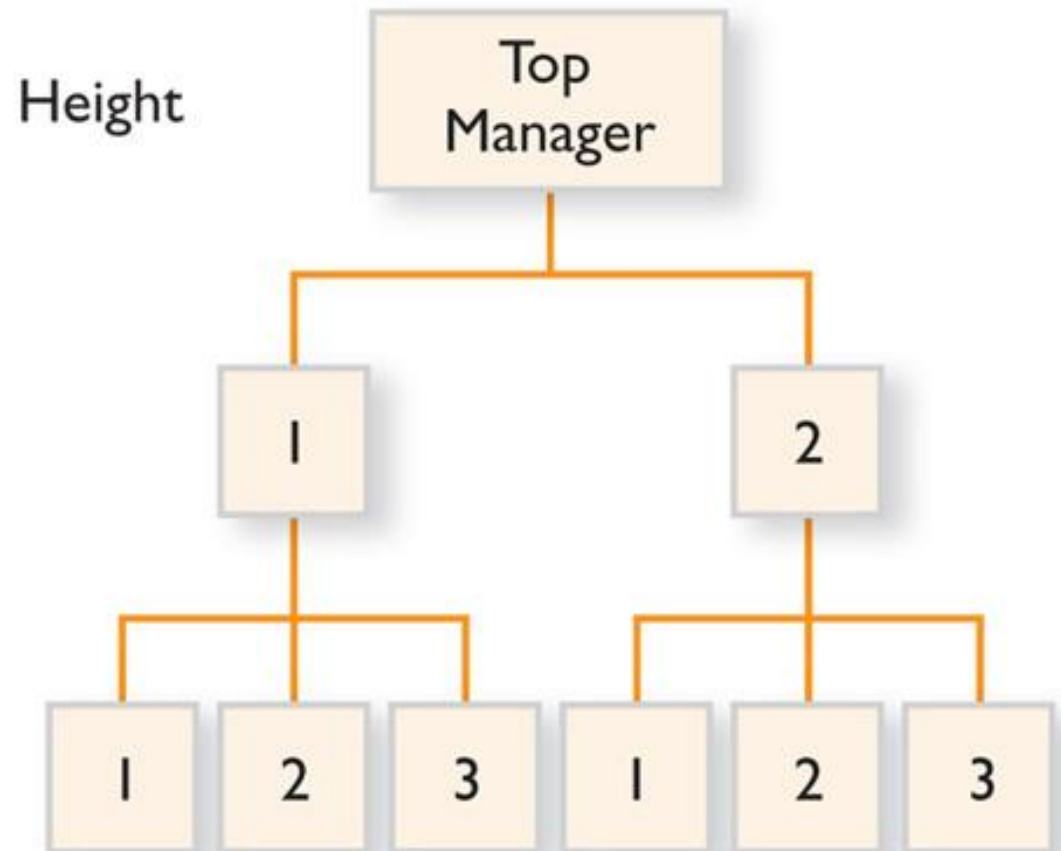
- Similarity of functions.
- Geographic continuity.
- Complexity of functions.
- Coordination.
- Planning.

Height of Organization Chart

**ORGANIZATION
CHART A**



**ORGANIZATION
CHART B**



Height of Organization Chart

- Span of management directly influences the height of an organization chart.
- The greater the height of the organization chart, the smaller the span of management.
- Organization charts with **little height** are usually referred to as ***flat***.
- Organization charts with **much height** are usually referred to as ***tall***.
- Increasing spans of management to eliminate certain management positions and thereby reduce salary expenses.
- Increasing spans of management to achieve such objectives as speeding up organizational decision making and building a more flexible organization.



Horizontal Dimensioning

- **Definition:**

The extent to which firms use lateral subdivisions or specialties within an organization

- **Department:**

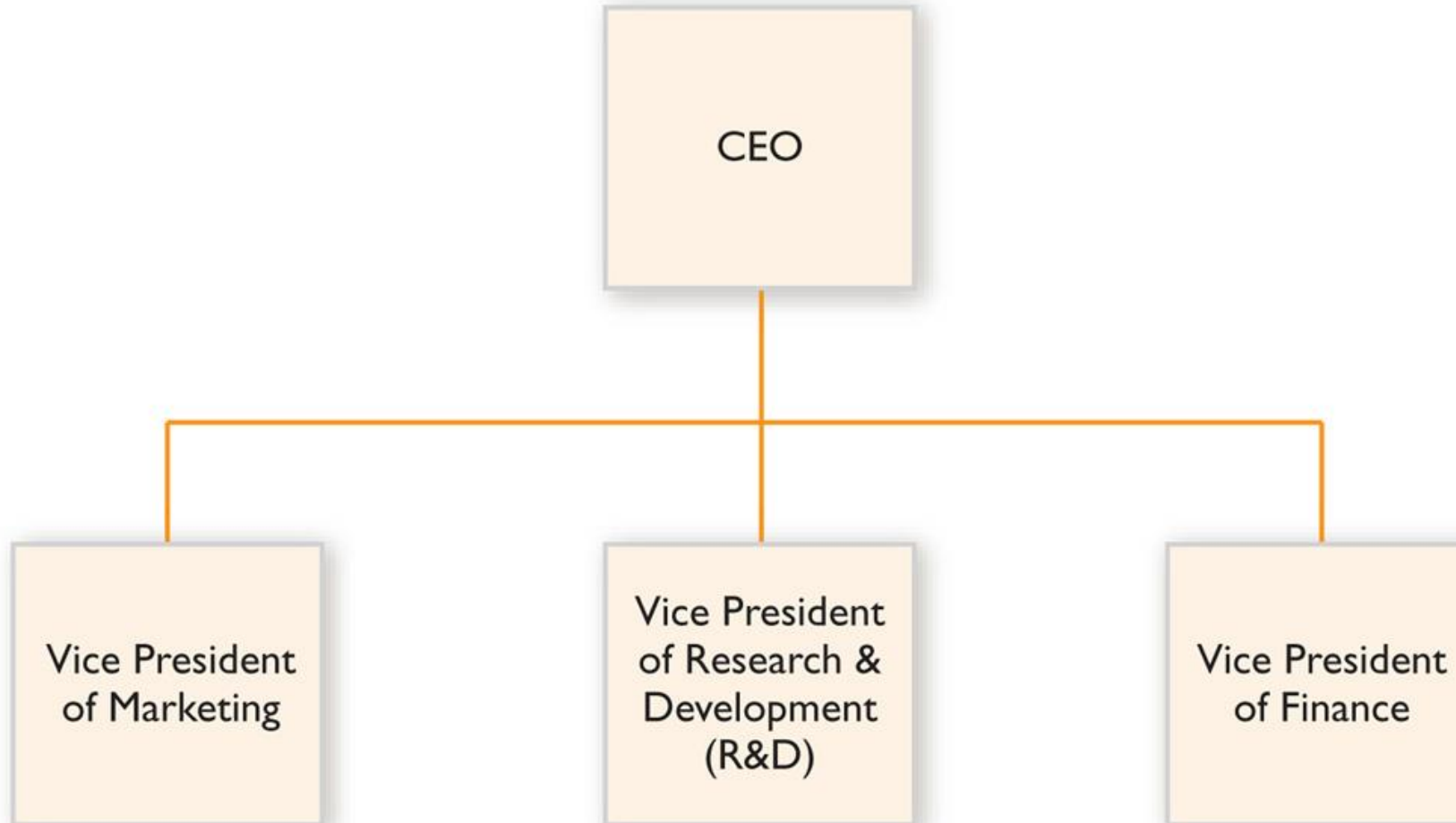
Is a unique group of resources established by management to perform some organizational task

- **Departmentalizing:**

Is the process of establishing departments within the management system

Departmentalization Types

Departments Based on Function



Departmentalization Types

Departments Based on Function

- **Advantages:**

Power of functional heads promotes consistency

Relatively easy to assign blame or credit for the performance of a function

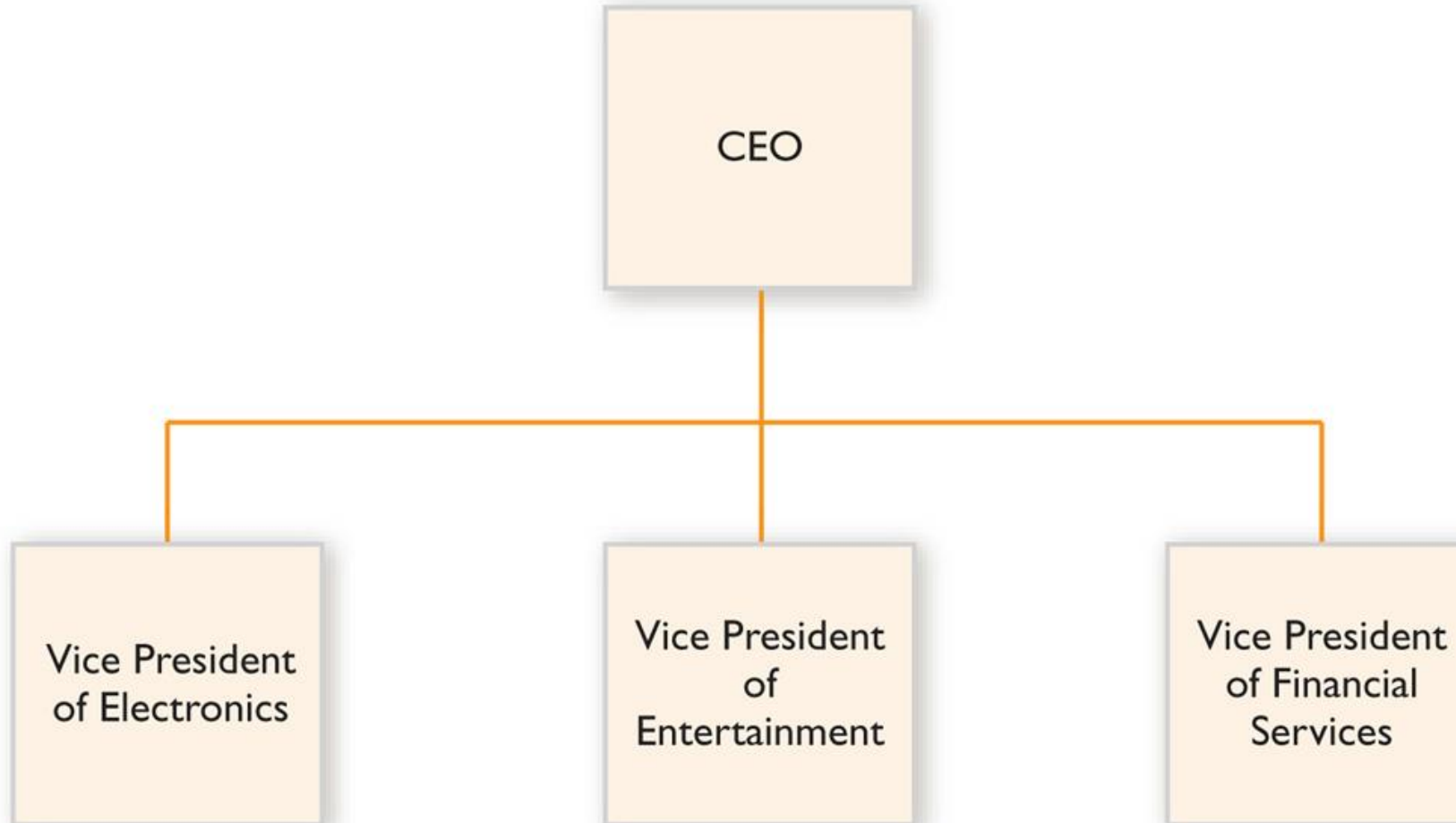
- **Disadvantages:**

May prove difficult to coordinate between various functions

Difficult to assign credit or blame when a product performs well or poorly

Departmentalization Types

Departments Based on Product



Departmentalization Types

Departments Based on Product

- **Advantages:**

Allows managers to focus on the products sold by the company

Relatively easy to assign credit or blame on the performance of a product

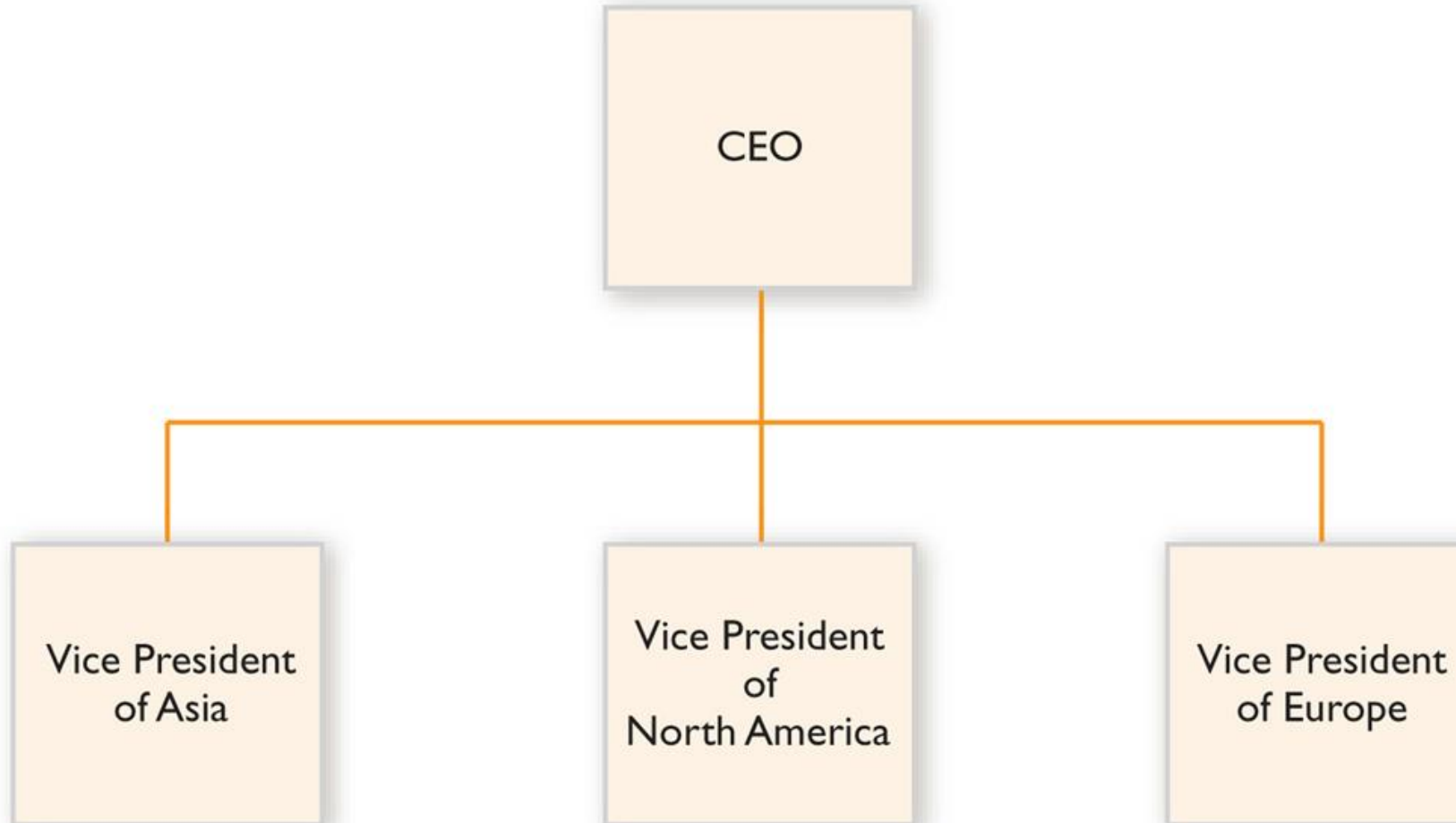
- **Disadvantages:**

Focus on product may force managers to miss differences in customers or geographic regions

May be difficult to coordinate across products

Departmentalization Types

Departments Based on Geographic



Departmentalization Types

Departments Based on Geographic

- **Advantages:**

Managers can focus on the various regions served by the company

Allows firms to develop human resources by rotating managers across different regions

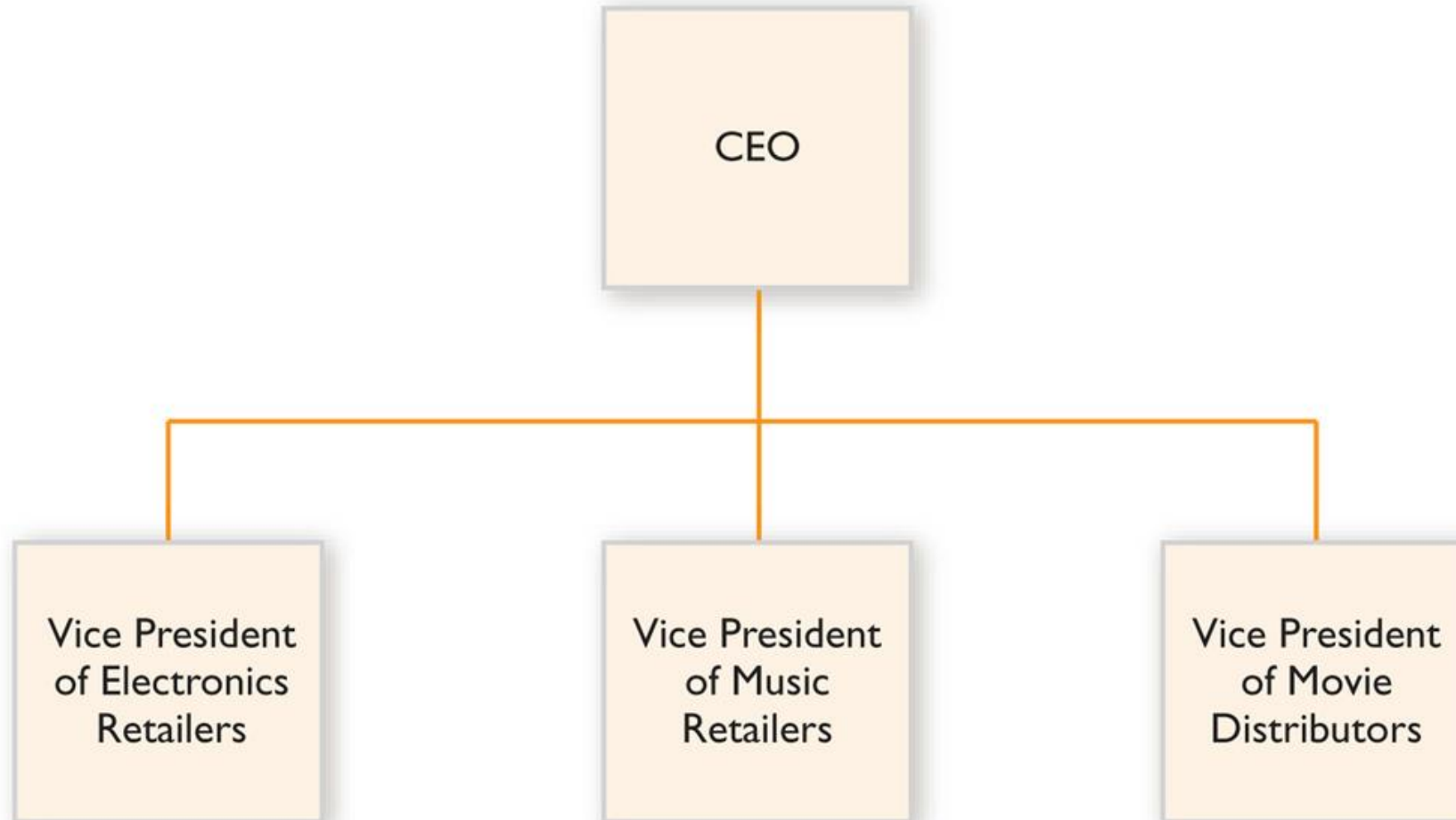
- **Disadvantages:**

May prove difficult to coordinate between various regions

May prove difficult to assign credit or blame based on the performance of a particular product

Departmentalization Types

Departments Based on Customer



Departmentalization Types

Departments Based on Customer

- **Advantages:**

Allows managers to focus on and cater to the most important customers

Relatively easy to assign blame or credit regarding customer relationships

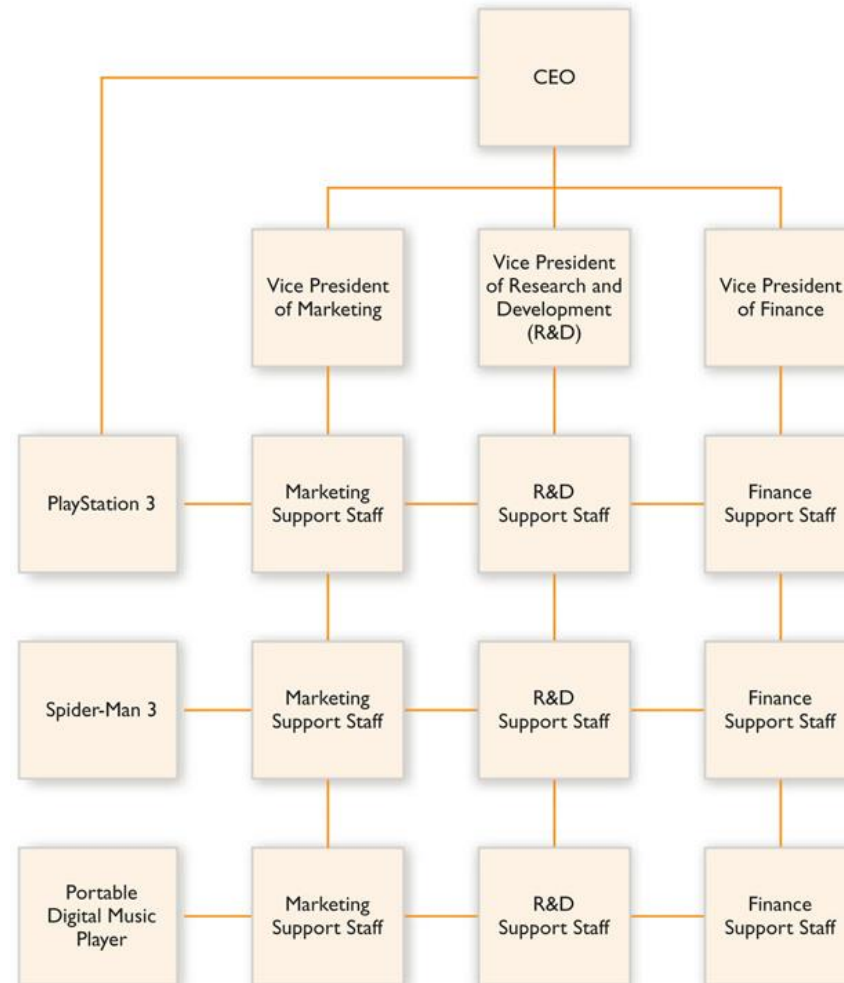
- **Disadvantages:**

May prove difficult to coordinate across various customers

May introduce complexities as customers span different products and geographic areas

Departmentalization Types

Departments Based on Matrix



Departmentalization Types

Departments Based on Matrix

- **Advantages:**

Allows firm to pool human resources for both short-term and long-term projects

Allows firm to maintain flexibility over time

- **Disadvantages:**

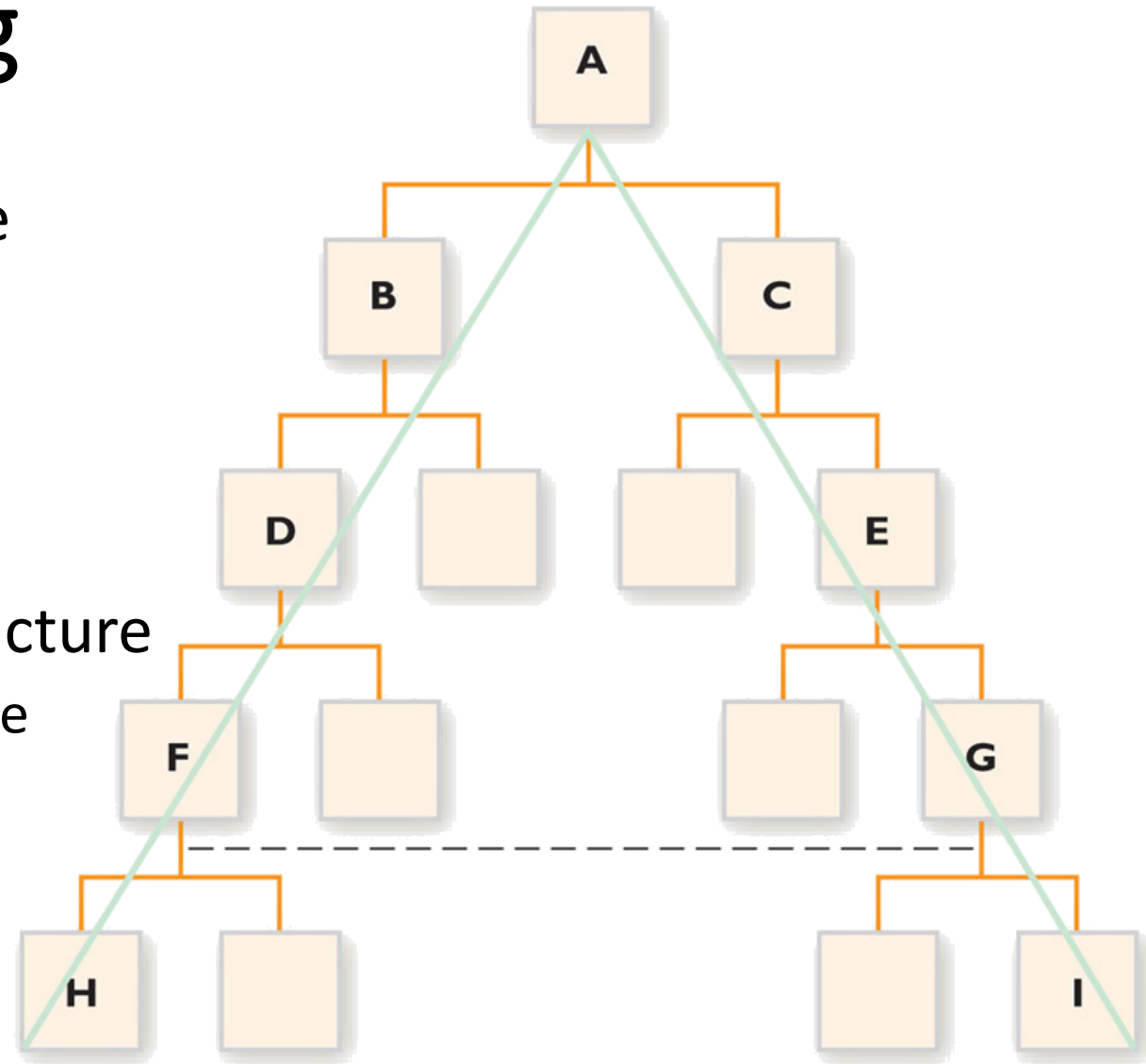
Difficult for employees to understand power structure within the firm

Difficult for employees to prioritize responsibilities based on multiple authority figures

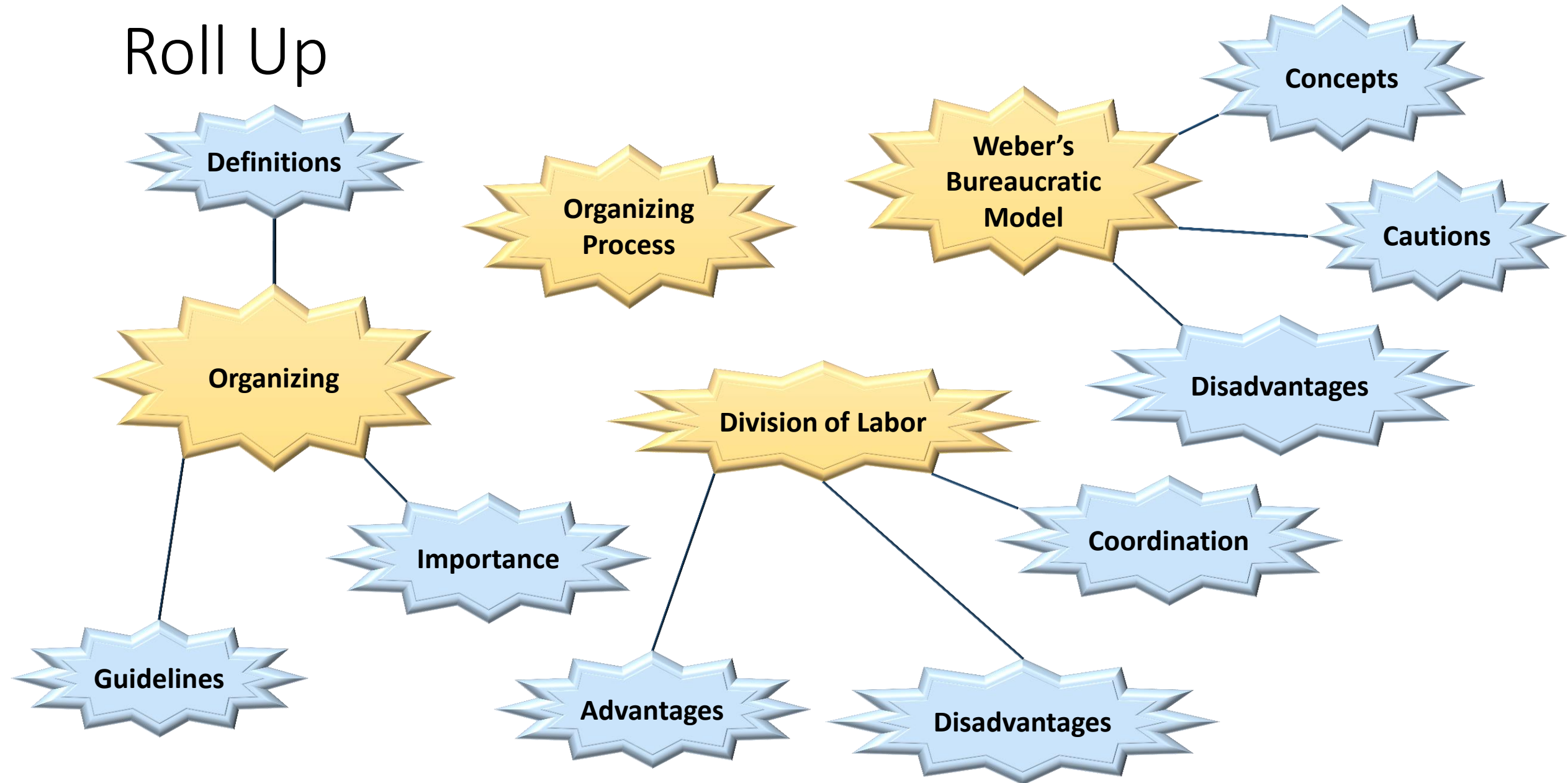
Horizontal Dimensioning

- Forces Influencing Formal Structure
 - Forces in the manager.
 - Forces in the task.
 - Forces in the environment.
 - Forces in the subordinates.
- Fayol's Advice on Using Formal Structure

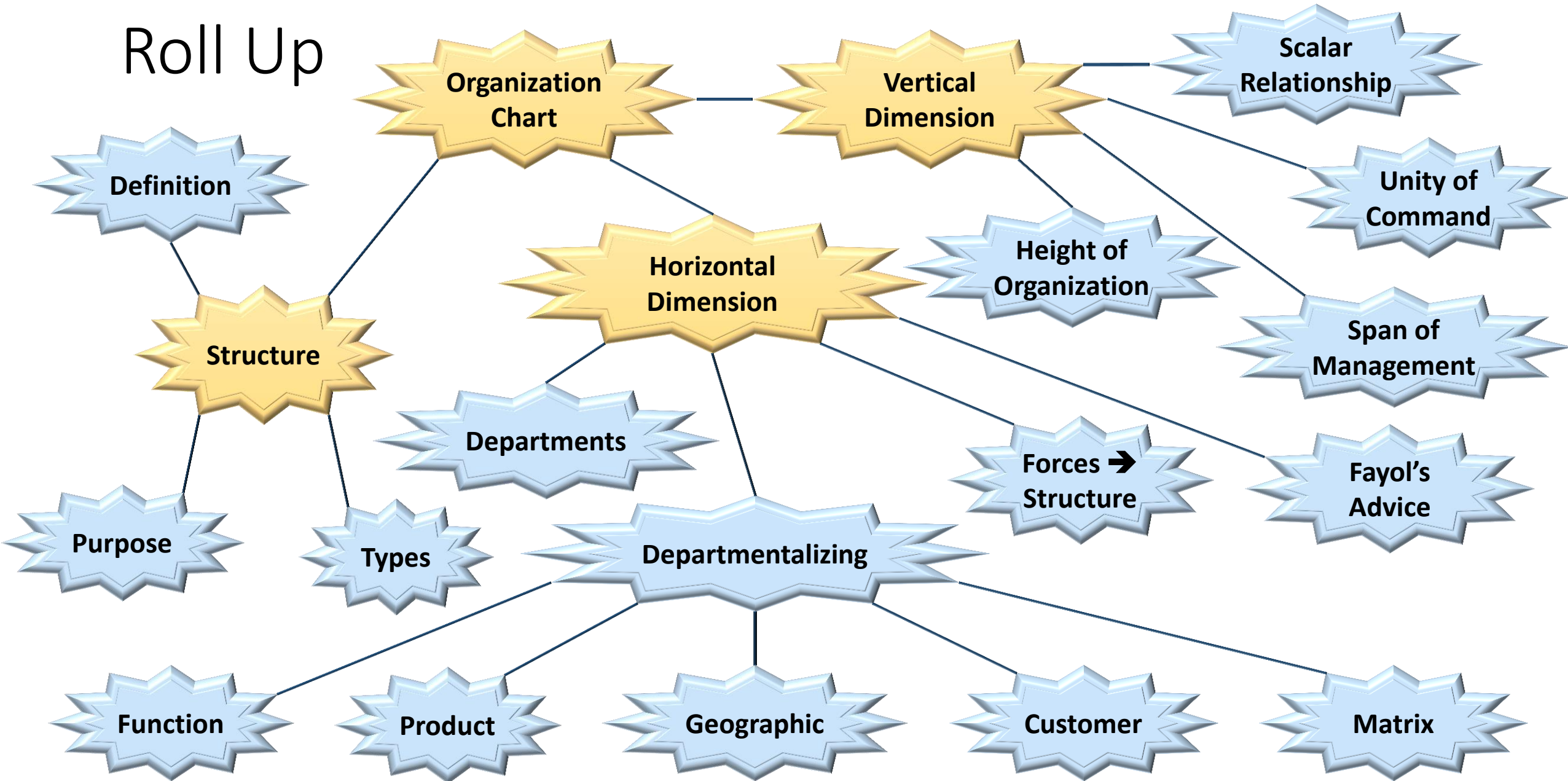
Fayol has indicated that strict adherence to a particular chain of command is not always advisable.



Roll Up



Roll Up



Overview

